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Risks

This press release contains forward-looking statements relating to, among other things, the future results of operations, financial condition, expectations, and plans of PayPal Holdings, Inc. and its consolidated subsidiaries. PayPal's actual results could differ from those estimated or implied by forward-looking statements. Factors that could cause or contribute to such differences include: our ability to compete in markets that are highly competitive and subject to rapid technological change. The impact of global and regional political, economic, market and trade conditions, including military conflicts, supply chain issues and related events that affect payments or commerce activity, including inflation and interest rates. The impact of complex and changing laws and regulations worldwide, including, but not limited to, laws covering cybersecurity, privacy, data protection, and artificial intelligence. The forward-looking statements in this release do not include the potential impact of any acquisitions or divestitures that may be announced and/or contemplated after the date hereof. More information about factors that could adversely affect PayPal's results of operations, financial condition and prospects is included under the captions "Risk Factors," "Legal Proceedings" and "Management's Discussion and Analysis of Financial Condition and Results of Operations"

Financials

PayPal Reports Fourth Quarter and Full Year 2024 Results. PayPal delivered solid fourth quarter and 2024 results; begins 2025 with strong foundation for continued transformation and new \$15 billion share repurchase authorization. Net revenues increased 7% to \$31.8 billion; 7% FXN. Transaction margin dollars increased 7%, to \$14.7 billion. GAAP operating margin contracted 14 basis points to 16.7%; non-GAAP operating margin expanded 116 basis point to 18.4%. PayPal announced today that its Board of Directors has authorized a new \$15 billion stock repurchase program. Cash, cash equivalents, and investments totaled \$15.4 billion as of December 31, 2024. Debt totaled \$11.1 billion. PayPal returned \$6.0 billion to stockholders by repurchasing approximately 92 million shares of common stock. PayPal's Board of Directors has authorized a new \$15 billion stock repurchase program. This new repurchase authorization is in addition to the Company's June 2022 stock rep. program, which had \$4.86 billion remaining authorization as of December 31, 2024. Total payment volume \$437,836 \$409,832 7% GAAP. Net revenues \$31,797 \$29,771 7%. Transaction margin dollars \$14,658 \$13,704 7% Operating margin 16.7% 16.9% (14 bps) Effective tax rate 22.2% 21.5% 0.7 pts. PayPal Holdings, Inc. will host a conference call to discuss fourth quarter and full year 2024 results at 8:00 a.m. Eastern Time today. A live webcast of the conference call, together with a slide presentation, can be accessed through the company's Investor Relations website at <https://investor.pypl.com>. PayPal Holdings, Inc. uses the following channels as means of disclosing information about the company. The information that is posted through these channels may be deemed material. Investors should monitor these channels in addition to PayPal's press releases, filings with the Securities and Exchange Commission ("SEC"), public conference calls, and webcasts. This press release includes financial measures defined as "non-GAAP financial measures" by the SEC. These measures may be different from non-GAAP financial measures used by other companies. The presentation of this financial information is not intended to be considered in isolation of, or as a substitute for, the financial information. PayPal Holdings, Inc. Unaudited Condensed Consolidated Balance Sheets. Cash and cash equivalents \$ 6,561 \$ 9,081. Short-term investments 4,262,979. Loans and interest receivable, held for sale 541,563. Other long-term liabilities 2,939,973. Long-term debt

9,879,676. Total liabilities 61,194,611,115. PayPal Holdings, Inc. Unaudited Condensed Consolidated Statements of Income (Loss) Three months Ended December 31, Year Ended December. 31, 2024 2023 2024 2023. Net revenues \$ 8,366 \$ 8,026 \$ 31,797 \$ 29,771. Operating expenses 6,925,298 26,472 24,743. Operating income 1,441,728 5,325,028. Other income (expense), net (31) 654,383. Income before income taxes 1,410,793 5,329,411. Customer support and operations (1) 451,465 1,768 1,919. Sales and marketing 626,462,001 11,809. Technology and development 773,770 2,979 2,973. General and administrative 594,554 2,147 2,059. Restructuring and other (1) 50 (311) 438 (84) Total operating expenses 6,925,298 26,472 24,743. Operating income 1,441,728 5,325,028. Other income (expense), net (31) 654,383. Income before income taxes 1,410,793 5,329,411. Income tax expense 289,391 11,182 1,165. Cash flows from operating activities: Net income (loss) 1,121 \$ 1,402 4,147 \$ 4,246 \$ 2,394 2,614 7,450. Cash flows from investing activities: Purchases of property and equipment (203) (145) (683) (623) Proceeds from sales of Property and Equipment 111 145. Changes in assets and liabilities: Accounts receivable 54 (79) 85 (114) Accounts payable 591 383 7. (342) (726) (1,207) Net cash provided by operating activities 2,193 7,119 24,352 10,795. Investing activities: Purchases of investments (5,390) (7,005) (26,209) (21,980) Maturities and sales of investments 5,783 8,185 26,962 24,295. Proceeds from divestiture of business, net of cash divested — 466. Funds receivable 2,756 (1,927) 2,908 (2,943) Collateral posted related to derivative instruments, net 131 (64) 73 (56) Other 259 101 598 6. PayPal Holdings, Inc. unaudited Condensed Consolidated Statements of Cash Flows. Cash, cash equivalents, and restricted cash at beginning of period 21,434 16,583 21,834 19,156. Cash and cash equivalents at end of period \$ 22,390 \$ 21,838 \$ 22,390 \$ 21,836. We generate additional revenue from merchants and consumers: on. transactions where we perform currency conversion, when we enable cross-border transactions (i.e., transactions where the. merchant and consumer are in different countries), to facilitate the instant transfer of funds for our customers. We also earn revenues from. interest and fees earned on our portfolio of loans receivable, and interest earned on certain assets underlying customer balances. PayPal Holdings, Inc. Unaudited Supplemental Operating Data. Total net revenues \$ 8,366 \$ 7,847 \$ 7,885 \$ 7,699 \$ 8,026. Current quarter vs prior quarter 7 % — % 2 % (4) % 8 % (FXN) Current quarter against prior year quarter 4 % 6 % 9 % 10 % 9 % 4 Q & FY 2024 Results 10 [Page 11 Text] PayPal has 6,619,631 6,580 6,505 6,798 payment transactions. Current quarter vs prior year quarter 3 % 9 % 11 % 13 % 14 % TPV \$ 437,836 \$ 422,641 \$ 416,814 \$ 403,860 \$ 409,832. The number of payment transactions is the total number of payments, net of payment reversals, successfully completed on our payments. platform or enabled by PayPal via a partner payment solution, not including gateway-exclusive transactions. A platform access partner is a third party whose. customers are provided access to PayPal's platform or services through such third-party'S login credentials. A user may register on our platform to access different products and may register. more than one account. PayPal uses non-GAAP measures to supplement the company's condensed consolidated financial statements presented in accordance with generally accepted accounting principles, or GAAP. The company believes the non- GAAP measures provide useful information to both management and investors by excluding certain expenses, gains and losses. The company uses financial measures that do not include. amortization or impairment of acquired intangible assets, restructuring-related charges, certain other gains, losses, benefits, or charges. The company believes that the inclusion of non-GAAP measures provides consistency in the company's financial reporting. The company excludes significant restructuring. charges primarily because management does not believe they are reflective of ongoing operating results. Gains and losses on strategic investments are tied to the performance of the companies that we invest in. The company uses free cash flow as a liquidity measure. that provides useful information to management and investors. PayPal believes that changes in. foreign currency exchange rates are not indicative of the company's operations. The company also analyzes certain measures, including net revenues and operating. expenses, on an FX-neutral basis to better measure the comparability of operating results between periods. PayPal's non-GAAP results now include the impact of stock-based compensation expense and related employer payroll taxes. The three months and year ended December 31, 2023 primarily includes \$339 million in pre-tax gain, net of transaction costs, related to the sale of Happy Returns. GAAP net income (loss) 1,121,402 4,147 2,46. Non-GAAP operating income adjustments (see table above) 61 (260) 513 93. Net (gains) losses on strategic investments 594 285 (201) Other (2) — 213 139. Tax effect of non- GAAP adjustments (32) 66 (141) 63. Non - GAAP effective tax rate 21 % 20 % 21

percent 20 %. Free cash flow 2,1912,4696,7674,220. Free cash flow \$ 2,098 \$ 774 \$ 6,634 \$ 4,554. Free cash flow 2,1912,4696,7674,220. Net timing impact between originating European BNPL. receivables as held for sale and the **subsequent sale of. receivable.**